IN THE NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(*Through Hybrid Mode)*

Item No.1
CP (CAA)/4/230/AMR/2024 in
CA (CAA)/02/230/AMR/2024

IN THE MATTER OF:

M/s. Haragovind Enterprises Pvt. Ltd.
(Transferor Company) … Petitioner Company

Under Section: 230 of Companies Act, 2013

Order delivered on 04.11.2025

CORAM:

SHRI UMESH KUMAR SHUKLA
HON'BLE MEMBER (TECHNICAL)

SHRI KISHORE VEMULAPALLI
HON'BLE MEMBER (JUDICIAL)

PRESENT:

For the Petitioner	:	Mr. V. Venkata Rami Reddy, Adv.
For RD (SER)	:	Ms. Kusuma Yadav, Assist Director
Official Liquidator	:	Mr. U. K.Sahoo
For the IT Department	:	Ms. B Sapna Reddy, Sr. Standing Counsel

ORDER

Order pronounced and recorded *vide* separate sheets. The Petition bearing CP (CAA)/4/230/AMR/2024 in CA (CAA)/02/230/AMR/2024 filed by the Petitioner Company is **allowed and scheme sanctioned**, and accordingly, the matter stands disposed of.

Sd/-
(UMESH KUMAR SHUKLA)
MEMBER (TECHNICAL)

Sd/-
(KISHORE VEMULAPALLI)
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT MANGALAGIRI

* * *

CP (CAA)/4/230/AMR/2024
(2nd Motion)
Connected with
CA (CAA)/2/230/AMR/2024
(1st Motion)

Under Sections 230 to 232 and Other Applicable Provisions of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF SCHEME OF AMALGAMATION:

Haragovind Enterprises Private Limited
(CIN: U85195AP2015PTC096073)
D.No. 55-1-11, Mehar Nagar, Auto Nagar,
Bus Stand (Guntur), Guntur,
Andhra Pradesh-522001

… Petitioner Company/ Transferor Company

With

Hyderabad Institute of Oncology Private Limited
(CIN: U85110TG2010PTC066521)
H.No:8-2-293/82/L/276A, MLA Colony Road No:12,
Banjara Hills, Hyderabad, Telangana- 500034

… Non-Petitioner Company/ Transferee Company

Order Dated: 04.11.2025

CORAM: HON'BLE Mr. KISHORE VEMULAPALLI, MEMBER (JUDICIAL)
HON'BLE Mr. UMESH KUMAR SHUKLA, MEMBER (TECHNICAL)

PRESENT

For the Petitioner	:	Mr. V Venkata Rami Reddy, Advocate
For the RD (SER)	:	Ms.Kusum Yadav, Assistant Director
For the Official Liquidator	:	Mr. U.K. Sahoo, OL
For the IT Department	:	Ms. B Sapna Reddy, Sr. Standing Counsel

ORDER
(PER: BENCH)

This 2nd Motion Company Petition (herein referred to as the "**Petition")** has been filed, vide Diary No. 1822 dated 26.12.2024, under Sections 230 and 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2016 (hereinafter referred to as "CAA Rules") read with the National Company Law Tribunal Rules, 2016 hereafter referred to as the "**NCLT Rules**") by M/s. Haragovind Enterprises Private Limited (hereinafter referred to as the "**Petitioner Company**" or "**Transferor Company"**), for sanction of the Scheme of Amalgamation of Petitioner Company with M/s. Hyderabad Institute of Oncology Private Limited (hereinafter referred to as the "**Non-Petitioner Company**" or "**Transferee Company"**) as to be binding on all the shareholders and creditors of the Petitioner Company with effect from the Appointed Date and Petitioner Company/Transferor Company shall stand dissolved without being would up (hereinafter referred to as the "**Scheme**"). The copy of the Scheme has been annexed as Annexure-E of the Petition.

2. The registered office of the Petitioner Company is situated within the State of Andhra Pradesh, therefore, this Petition is within the jurisdiction of this Tribunal.

3. The 1st Motion Company Application bearing No. CA(CAA)/2/230/AMR/2024 (hereinafter referred to as the "Application") seeking directions for dispense with the convening and holding of the meeting of the shareholders, secured creditors and unsecured creditors of the Petitioner Company and also dispense with the publication of notice in newspapers was filed before this Tribunal, which was disposed of vide this Tribunal Order dated 06.11.2024 with the directions to dispense with the meetings

of shareholders, secured creditors and unsecured creditors of the Petitioner Company for the reasons mentioned in the aforesaid order. Vide above Order, this Tribunal also dispensed with the requirement of publication of notice in newspapers.

4. In the Second Motion Petition proceedings, this Tribunal, vide its order dated 03.01.2025, directed the Petitioner Company to issue notice to the Statutory Authorities and publish the same in two daily newspapers, namely, The Business Standard (English Daily) and Andhra Jyothi (Telugu Daily), specifying the next date of hearing.

5. In compliance with this Tribunal order dated 03.01.2025, the Petitioner Company, vide Diary No. 176 dated 05.02.2025, filed the Compliance affidavit stating that:

(i) The notices were served upon the (i) Central Government through Regional Director, South Eastern Region, Ministry of Corporate Affairs, Hyderabad (hereinafter referred to as the "**RD**"); (ii) Registrar of Companies, Andhra Pradesh, Vijayawada (hereinafter referred to as the "**RoC**"); (iii) Official Liquidator, Andhra Pradesh, Hyderabad; (hereinafter referred to as the "**OL**") (iv) Jurisdictional Assessing officer of the Income Tax (hereinafter referred to as the "IT") Department of the Petitioner Company i.e., The Income Tax Officer, Circle 1 (1), Gunturu and (v) ITD, Nodal Officer, Hyderabad. The copies of the notices along with original dispatch/ acknowledgement receipts/ tracking status have been attached as Annexure- A1 to A3 and Annexure-B1 & B2 respectively of the affidavit).

(ii) the notice of hearing was published in "The Business Standard" (English Daily) and "Andhra Jyothi" (Telugu Daily) in the State of Andhra Pradesh

on 10.01.2025, respectively. The copies of the newspapers have been attached as Annexure- C1 & C2 to the affidavit.

6. During the course of hearing held on 21.03.2025, it was observed that the Petitioner Company had not filed the Statutory Auditor's Certificate regarding accounting treatment, the list of ongoing litigations, and other affidavits/disclosures as required under the Companies Act, 2013 and the CAA Rules. Accordingly, the Petitioner was directed to file the required compliances within two weeks and whereafter the RD shall file his report within a further period of two weeks. The matter was posted for hearing on 08.05.2025.

7. In compliance with the above Order, the Petitioner Company, vide Diary No. 696 dated 21.04.2025, filed Affidavit dated 14.04.2025 stating that there is no pending litigations or proceedings against the Transferor Company and that the Scheme does not contemplate debt restructuring as stipulated under section 230(2)(e) of the Companies Act, 2013 and also enclosing therewith the copy of the Audited Financial Statements for the Financial Year 2023–2024 & the Provisional Financial Statements as on 30.09.2024 of the Petitioner Company and the Statutory Auditor's Certificate confirming that the accounting treatment proposed in the Scheme is in conformity to the Accounting Standards prescribed under section 133 of the Companies Act, 2013. However, the Petitioner Company with the above Affidavit dated 14.04.2025 enclosed only the consolidated financial statements for the financial year 2023-24, the Petitioner Company subsequently, vide Diary No.1768 dated 02.09.2025, filed Affidavit dated 01.09.2025 enclosing therewith the standalone audited financial statements for the financial year 2023-24 of both Transferor and Transferee Companies.

8. During the course of hearing held on 24.07.2025, it was also noted that the list of creditors, including secured and unsecured creditors, as filed by the Petitioner Company, differs significantly from the liabilities disclosed in the Balance Sheet at the time of dispensing with their meeting in the First Motion Petition and the Counsel sought time to file a detailed clarification in that regard.

9. In compliance with the above Order, the Petitioner Company, vide Diary No. 1633 dated 08.08.2025, filed Clarification Affidavit dated 06.08.2025 depicting in a tabular form, the reconciliation of figures shown in the Provisional Balance Sheet as on 31.03.2024 and figures shown as on 30.04.2024 in the Chartered Accountant's Certificate dated 20.09.2024 as below:

Particulars	**Figures shown in the PROVISIONAL BALANCE SHEET as on 31.03.2024.**	**Figures shown as on 30.04.2024 in the Chartered Accountant's Certificate dated 20.09.2024.**	**NOC submitted through First Motion Petition**
Secured Loans:			
1. ICICI Bank	Rs.23,76,13,143/-	Rs. 23,36,87,178/-	Submitted
2. HDFC Bank	Rs.5,15,31,395/-	Rs. 4,98,83,965/-	Submitted
Total	**Rs. 28,91,44,538/-**	**Rs. 28,35,71,143/-**	
Unsecured Loans:			
1. S S Medicals & Image Products	Rs. 4,25,57,375/-	Rs. 2,43,56,516/-	Submitted
2. Avenir Lifecare Pharma P rivate Limited	--	Rs. 7,682/-	Submitted
3. Kunal Pharma Distributors Private Limited	Rs. 13,16,841/-	Rs.11,41,708/-	Submitted

4. Lifecare Pharma Distributors Private Limited	Rs.1,53,506/-	Rs.1,53,506/-	Submitted
5. Mahankali Agencies	Rs. 45,22,734/-	Rs.41,45,863/-	Submitted
6. Medi Impex	Rs.8,63,483/-	Rs.6,72,265/-	Submitted
7. Medihauxe Pharmaceuticals Private Limited	Rs. 2,22,602/-	Rs.2,25,021/-	Submitted
8. Sree Balaji Medicare	Rs.14,33,201/-	Rs. 14,52,895/-	Submitted
9. Sreekara Medicine House Private Limited	Rs. 33,74,692/-	Rs.37,80,478/-	Submitted
10. Sriven Medicals & Surgicals	Rs. 10,70,760/-	Rs.10,10,957/-	Submitted
11. Ugro Capital Limited	Rs. 2,47,24, 371/-	Rs. 2,45,36,965/-	The dues at S No. 11 were repaid prior to the date of certificate issued by the Chartered Accountant. S No. 12 to 15 are none other than the relatives who are one or the other way the shareholders or the directors of the Companies involved in the Scheme of Amalgamation. S No. 16 is nothing but the Transferee Company. As per Clause 13.3 of the Scheme, the same will be nullified.
12. Chigurupati Mohana Vamsy	Rs. 23,58,55,932/-	Rs. 23,58,55,932/-	
13. P. Nagavardhanamma	Rs. 25,51,137/-	Rs. 25,51,137/-	
14. Ch Namrata	Rs. 2,67,31,211/-	Rs. 2,67,31,211/-	
15. Ch Padmaja	Rs. 6,65,17,351/-	--	
16. Hyderabad Institute of Oncology Private Limited	Rs.77,13,07,998/-	Rs.83,89,07,987/-	

J. CHIRANJEEVI BABU B.Com, LL.B
Appointed by the Govt. of T.G. Hyderabad, INDIA
G.O. Ms No:2511
NOTARY

			NOC / Consent Affidavit are being filed along with this Consolidated Affidavit.
Total	**1,18,32,03,196/-**	**1,12,85,83,232/-**	

10. The Petitioner Company, in the above Affidavit submitted that the dues at sl. no. 11 were repaid prior to the date of certificate issued by the Chartered Accountant; sl. no. 12 to 15 are none other than the relatives, who are one or the other way the shareholders or the directors of the Companies involved in the Scheme of Amalgamation and sl. no.16 is nothing, but the Transferee Company, which will be nullified as per Clause 13.3 of the Scheme. However, for the unsecured loans shown at sl. no. 11 to 16, the consent/ NOC of each of them have been furnished in the form of Affidavits along with this Clarification Affidavit.

11. In pursuance of the notices issued to the Statutory Authorities, the status of reports filed by them and the reply affidavits filed by the Petitioner Company are discussed in the following paragraphs.

IT Department

12. The Deputy Commissioner of Income Tax, Circle-1(1), Guntur, vide Diary No. 309 dated 25.02.2025, filed an affidavit dated 21.02.2025 stating that there is NIL demand in case of Transferor Company. The relevant extracts of the said affidavit are reproduced below:

2. I further respectfully submit that the Income Tax Department represented by Dy. Commissioner Income Tax Office, Circle-1(1), Guntur, has been served with a copy of CP (CAA) No.04/230/AMR/2024 IN CA (CAA) No. 02/230/AMR/2024 pursuant to the Section 230 to 232 of the Companies Act, 2013. The registered office of Haragovind Enterprises Private Limited **("Transferor Company")** having CIN U85195AP2015PTC096073. The company's Regd. office is located at D.NO. 55-1-1, Meher Nagar, Auto Nagar, Bus Stand (Guntur), Guntur-522001, with Permanent Account No. (PAN:AADCH5815L) which falls under jurisdiction of Dy. Commissioner Income Tax, Circle-1(1), Guntur.

3. It is submitted that the Haragovind Enterprises Private Limited (Transferor Company) is registered with Registrar of Companies, Hyderabad with CIN No U85195AP2015PTC096073. In response to the notice received, I respectfully submit the following objections of the Income Tax Department, against the proposed scheme of Haragovind Enterprises Private Limited **("Transferor Company")** having CIN: U85195AP2015PTC096073 **with Transferee Company** Hyderabad Institute of Oncology Private Limited ("Transferee Company") having CIN U85110TG2010PTC066521 are hereunder.

N.S. LALITHA

3.1 As per available records, there is NIL demand in case of Haragovind Enterprises Private Limited ("Transferor Company").

4. In view of above foregoing, this Hon'ble NCLT may kindly take this affidavit on record and pass such order or orders as it may deem fit and proper in the matter.

13. The Deputy Commissioner of Income Tax, Circle-1(1), Guntur, vide Diary No. 1043 dated 30.05.2025, filed objections of the IT Department through an affidavit dated 27.05.2025 stating that there is a pending demand of Rs.578,41,840/- (excluding interest) against the Transferor Company for the Assessment Year 2024-25 and interest of revenue may be protected by including in the NCLT Order that the Transferee Company shall be liable to pay and honour all dues in respect of the Transferor Company. The relevant extracts of the affidavit are reproduced below:

> 2. I further respectfully submit that the Income Tax Department represented by Dy. Commissioner Income Tax Office, Circle-1(1), Guntur, has been served with a copy of CP (CAA) No.04/230/AMR/2024 IN CA (CAA) No. 02/230/AMR/2024 pursuant to the Section 230 to 232 of the Companies Act, 2013. The registered office of M/s. Haragovind Enterprises Private Limited **("Transferor Company")** having CIN U85195AP2015PTC096073. The company's Regd. office is located at D.NO. 55-1-1, Meher Nagar, Auto Nagar, Bus Stand (Guntur), Guntur-522001, with Permanent Account Number (PAN: AADCH5815L) which falls under jurisdiction of Deputy Commissioner Income Tax, Circle-1(1), Guntur.
>
> 3. It is submitted that the M/s. Haragovind Enterprises Private Limited (Transferor Company) is registered with Registrar of Companies, Hyderabad with CIN No U85195AP2015PTC096073. In response to the notice received, I respectfully submit the following objections of the Income Tax Department, against the proposed scheme of M/s. Haragovind Enterprises Private Limited **("Transferor Company")** having CIN: U85195AP2015PTC096073 **with Transferee Company** M/s. Hyderabad Institute of Oncology Private Limited ("Transferee Company") having CIN U85110TG2010PTC066521 are hereunder.

OBJECTIONS OF THE INCOME TAX DEPARTMENT

3.1 As per the available records of the office, there is a pending demand of **Rs.5,78,41,840/-** (Excluding Interest chargeable u/s 220(2) of the Income Tax Act, 1961) in the case of M/s. Haragovind Enterprises Private Limited (**"Transferor Company-7/Applicant** Company-7") for the Assessment Year 2024-25 as mentioned below:

A. Details of Order u/s.154:

3.2 In the case of M/s. Haragovind Enterprises Private Limited (Transferor Company-7), Order u/s.154 of the Income Tax Act, 1961 was passed by Centralized Processing Center(CPC) on 03/04/2025 determining total income at Rs.33,48,03,169/- and raising a **demand of Rs.5,78,41,840/-**. As per the office records, the said demand and interest chargeable u/s 220(2) of the Income Tax Act, 1961 is yet to be paid by the said company. The Order u/s.154 of the Income Tax Act, 1961 of the order mentioned above is enclosed herewith as Annexure.

3.4. Since there is a pending demand as detailed above, in the interest of revenue, the applicant is filing Report/objection against the proposed scheme of amalgamation of M/s. Haragovind Enterprises Private Limited **("Transferor Company")** having CIN: U85195AP2015PTC096073 **with Transferee Company** M/s. Hyderabad Institute of Oncology Private Limited ("Transferee Company") unless the interest of revenue is protected in recovery of demand along with interest and penalties, as applicable, from M/s. Haragovind Enterprises Private Limited, and also that in the event this Hon'ble NCLT proposes to approve the scheme of amalgamation, this

Hon'ble Tribunal may be pleased to pass orders that the Resultant Company shall be liable to pay and honour all dues in respect of M/s. Haragovind Enterprises Private Limited ("Transferor Company-7/Applicant Company-7") or pass any such orders in the interest of revenue and recovery.

14. In response to the objections of the IT Department, the Petitioner Company, vide Diary No. 1216 dated 25.06.2025, filed its Reply Affidavit dated 24.06.2025 stating that if any dues, claims, demands received from the IT authorities in future, if such claims/ demands are legally enforceable, the Transferee Company hereby undertakes to pay such claims/ demands upon the approval of the Scheme in all legal means. The relevant extracts of the affidavit are reproduced below:

3. It is humbly submitted that in the said demand at Column No. 3, We respectfully submit that the amount of ₹19,72,18,800/- pertains to the write-off of investments made in **Kakatiya Institute of Oncology Private Limited** and **Omega Century Institute Of Oncology Private Limited.** This amount was classified and disclosed as an **"Exceptional Item"** in the audited Profit and Loss Account for the relevant financial year, in accordance with applicable accounting standards and the provisions of the **Companies Act, 2013**. Specifically, in accordance with **Accounting Standard (AS) 13 – Accounting for Investments** or, where applicable, **Ind AS 109 – Financial Instruments,** a diminution in the value of long-term investments is recognized in the financial statements only when such diminution is considered **other than temporary in nature**. This disclosure has been made solely to reflect the fair presentation of the financial position of the company and does not constitute a claim of such loss as a tax-deductible expense.

Further, as per **Schedule III of the Companies Act, 2013**, such exceptional items are mandatorily disclosed to ensure full and fair disclosure in financial reporting. However, the said amount has **not been claimed as an expenditure in the Income Tax Return (ITR)** filed for the Assessment Year 2024-25, nor has it been factored into the computation of taxable income.

The adjustment made by the Income Tax Department appears to have been effected under **Section 143(1)(a)(iv)** of the **Income Tax Act, 1961**, which pertains to the disallowance of expenditures indicated in the tax audit report but not considered in the computation of total income. In this regard, we categorically state that:

- **There is no such disallowance or qualification noted by the Tax Auditor in Form 3CD**, and
- **There is no incorrect claim apparent from the return**, as defined under the **Explanation to Section 143(1)(a)** of the Income Tax Act, 1961.

Accordingly, the said tax adjustment and resultant demand are unfounded and are being actively contested through appropriate legal remedies, including rectification proceedings under **Section 154 of the Income Tax Act, 1961**."

It is humbly submitted that with regard to the details of Tax mentioned at Para III supra, if any dues, claims, demands received from the Income Tax Authorities in future, if such claims / demands are legally enforceable, the Transferee Company i.e, M/s. Hyderabad Institute of Oncology Private Limited hereby undertakes to pay such claims / demands upon the approval of the Scheme of Amalgamation and upon the Merger of both the entities of the Transferor Companies into the Transferee Company in all legal means.

OL Report

15. The OL vide Diary No. 907 dated 09.05.2025, filed his report dated 06.05.2025. Besides general remarks, the OL made certain specific observations in para 22 of the report. The Petitioner Company, vide Diary No.1000 dated 27.05.2025, filed its Reply Affidavit dated 15.05.2025 responding to the said observations. During the course of hearing dated 21.08.2025, the Counsel for the OL sought one week's time to obtain instructions and to file a clear report by way of an additional affidavit, for the purpose of taking a decision on the appointment date whether they are satisfied with the reply of the Company to retain the appointment date as 01.04.2023, or whether the appointment date requires to be changed as suggested in their report. Subsequently, the OL, vide Diary No. 1797 dated 08.09.2025, filed a further report dated 29.08.2025 containing the observations of the OL, reply of the Petitioner Company and further observations of the OL. The relevant extracts of the OL Observations in its report dated 06.05.2025, reply of the Petitioner Company in Reply Affidavit dated 15.05.2025 and OL further observations in its report dated 29.08.2025 have been tabulated below:

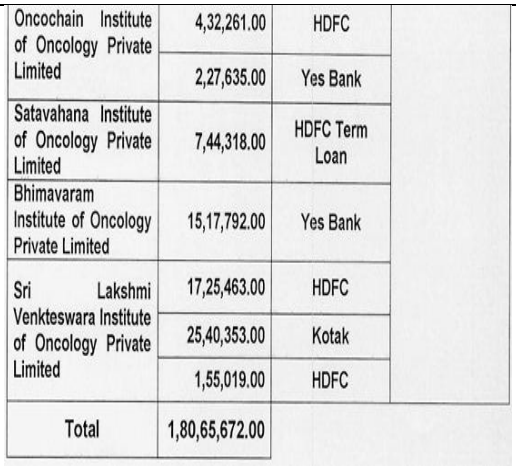
SN	OL Observations	Petitioner Company Reply	OL Further Observations
(a)	The Transferee Company falls under the jurisdiction of the NCLT, Hyderabad Bench, hence, this Tribunal may sanction the Scheme subject to the orders of the NCLT, Hyderabad Bench in CP(CAA) No.3/230/HDB/2025, which was filed by the Transferee Company as well. Further, the Transferor Company falls under the jurisdiction of this Tribunal and the OL observations are only with respect to Transferor Company.	The comments are statement of facts, hence need not be traversed.	No further observations
(b)	Clause 4.3 of Part-"II" of the Scheme provides the Appointed date as 01.04.2023, which is old as of now, hence this Tribunal	In accordance with Section 232(6) of the Companies Act, 2013 and	The para 6(c) of General Circular dated 21 08-

SN	OL Observations	Petitioner Company Reply	OL Further Observations
	may direct to change the appointed date to the latest one or such date, as may direct by this Tribunal	as clarified by the Ministry of Corporate Affairs (General Circular No.09/2019 dated 21.08.2019), the appointed date of a Scheme may be a specific calendar date or a date linked to the occurrence of a relevant event. The selection of 01.04.2023 as the appointed date is thus, well within the statutory framework and applicable regulatory provisions. The date of 01.04.2023 marks the beginning of the financial year 2023-24. Fixing this date ensures seamless integration of books of accounts, tax filings, and statutory reporting for the merged entity without requiring restatement of part-year financials. This enhances administrative efficiency and compliance simplicity. The valuation and accounting treatment proposed under the Scheme is based on the audited financial statements as on 31.03.2023. Using 01.04.2023 as the appointed date ensures continuity from that audit cutoff and avoids the need for additional interim financial statements or reconciliations. The proposed appointed date does not cause any prejudice to the rights or interests of shareholders, creditors, or other	2019 provides as follows: *"6(c). Where the 'appointed date' is chosen as a specific calendar date, it may precede the date of filing of the application for scheme of merger/ amalgamation in NCLT. However, if the 'appointed date' is significantly ante-dated beyond a year from the date of filing, the justification for the same would have to be specifically brought out in the Scheme and it should not be against public interest."* In this case, the Scheme does not contain about the specific justification of the old appointed date i.e. 01.04.2023. As a result, the OL is not in a position to offer the comment, whether it is against the public interest or not. Hence, this Tribunal may direct the Transferor Company to modify the Scheme by changing the appointed date as 01.04.2024 or any other latest date as this Tribunal may deem fit and proper in the circumstances of the case.

SN	OL Observations	Petitioner Company Reply	OL Further Observations
		stakeholders. Moreover, the shareholders of Transferor and Transferee Companies are common and also nothing, but family members.	
(c)	Clause 4.13 of Part-"II" of the Scheme dealing with 'Record Date', leaving it as undetermined and seeking to vest entire power to fix the Record Date completely with the Board of Directors of Transferee Company alone without involvement of Transferor Company and hence, the Transferor Company be directed to submit an undertaking to this Tribunal to the effect that the Record Date would be decided and fixed mutually by the Board of Directors of Transferor & Transferee Companies.	It is hereby undertaken that the Record Date would be decided and fixed mutually by the Board of Directors of Transferor & Transferee Companies.	Observation Complied.
(d)	Clause 8.1 of Part-"III" of the Scheme seeks to protect all the executives, staff, workmen, and other employees in the service of the Transferor Company as on the Effective Date shall become the staff, workmen, and employees of the Transferee Company. Hence, the Transferor Company be directed to submit an undertaking to this Tribunal to the effect that there would be no retrenchment of any employee who were in service as on the Appointed Date as well.	The Transferor Company does not have any employees on its rolls and instead, engaged the professionals and specialists, who provide their expertise and services for which they are compensated through professional fees.	The company has earned revenue of Rs.4,187.05 lakhs, whereas the employee cost is "NIL". It means, it is operating the business without any employees, which creates doubt on operations of the company. The company has engaged the professionals and specialists for operations of the company. Hence, this Tribunal may direct the Transferor Company to provide the details of professional and their fees paid towards maintenance of books of account & other statutory books as required under the Companies Act, 2013.

SN	OL Observations	Petitioner Company Reply	OL Further Observations
(e)	As per Clause 16 of Part-“III" of the Scheme, the Transferor Company shall stand dissolved without going through the process of winding up pursuant to the provisions of the Act and the rules made thereunder without any further Act, instrument or deed be and stand dissolved.	The comments are statement of facts, hence need not be traversed.	No further observations
(f)	As per Note-2.2 of Financial Statements of Transferor Company as at 31.03.2024, an amount of Rs.9,446.39 lakhs has been shown as "Investments" in Equity, Partnership firms; LLPs & Mutual Funds. Further, in respect of equity shares held in "Kakatiya Institute of Oncology Pvt. Ltd. (1,88,21,880 shares) & Omega Century Institute of Oncology Pvt. Ltd. (9,00,000 shares)", the value has been shown as "NIL". In this regard, the Transferor Company vide letter dated 11.03.2025 (received on 21.03.2025) has stated that out of the total investment of Rs.9,446.39 lakhs, investment worth of Rs.9,426.39 lakhs have been made in unlisted equity shares and these investments have been accounted for as per the principles of the Companies Act, 2013 and disclosed in Note 2.2(a) of the financial statements. The Company has further stated that the investment of Rs.18,82,18,800/- made in Kakatiya Institute of Oncology Pvt. Ltd. and investment of Rs.90,00,000/- made in Omega Century Institute of Oncology Pvt. Ltd., has been written off during the current financial year due to the cessation of business operations and hence this write-off reflects the decrease in the carrying value of the investment to its recoverable amount.	The comments are statement of facts, hence need not be traversed.	No further observations.
(g)	As per Note 2.3 of the Financial Statements of Transferor Company as at 31.03.2024, an amount of Rs.5,488.31 lakhs has been shown as "Loans to Related parties" and an amount of Rs.100.10 lakhs has been shown as "Loans to Others" under the head of "Loans & Advances". In this regard, the Transferor Company vide letter dated	The comments are statement of facts, hence need not be traversed.	No further observations.

<table>
<tr><th>SN</th><th>OL Observations</th><th>Petitioner Company Reply</th><th>OL Further Observations</th></tr>
<tr><td></td><td>11.03.2025 (received on 21.03.2025) has furnished the details as follows:
<table>
<tr><td colspan="4">Loans to Related Party</td></tr>
<tr><td>Name of the Party</td><td>Amount Rs.</td><td>Repayment Schedule</td><td>Rate of Interest</td></tr>
<tr><td>De Vita Bio Life Sciences LLP</td><td>86,77,258</td><td>Repayment on demand</td><td>Interest free</td></tr>
<tr><td>Kakatiya Institute of Oncology Pvt Ltd(L)</td><td>11,06,07,660</td><td>Repayment on demand</td><td>Interest free</td></tr>
<tr><td>Omega Century Inst Of Oncology Pvt. Ltd.</td><td>5,00,69,906</td><td>Repayment on demand</td><td>Interest free</td></tr>
<tr><td>Oncochain Healthcare Services</td><td>25,49,69,798</td><td>Repayment on demand</td><td>Interest free</td></tr>
<tr><td></td><td>6,33,07,673</td><td>Repayment on demand</td><td>Interest free</td></tr>
<tr><td>Sri Lakshmi Venkateswara – Loans & Advances</td><td>6,11,98,641</td><td>Repayment on demand</td><td>Interest free</td></tr>
<tr><td>Total</td><td>54,88,30,935</td><td></td><td></td></tr>
<tr><td>Loans to others</td><td></td><td></td><td></td></tr>
<tr><td>Animation Finvest Pvt Ltd</td><td>10,000</td><td>Repayment on demand</td><td>Interest free</td></tr>
<tr><td>Zafonic finlease and investments Pvt Ltd.</td><td>1,00,00,000</td><td>Repayment on demand</td><td>Interest free</td></tr>
<tr><td>Total</td><td>1,00,10,000</td><td></td><td></td></tr>
</table></td><td></td><td></td></tr>
<tr><td>(h)</td><td>As per Note 2.14 of the Financial Statements of Transferor Company as at 31.03.2024, an amount of Rs.180.66 lakhs has been shown as "Financial Corporate Guarantee Liability" under the head of "Other financial liabilities". In this regard, the Transferor Company vide letter dated 11.03.2025 (received on 21.03.2025) has furnished the details as below:
<table>
<tr><td>On whose behalf</td><td>Balance amount as on 31-03-2024</td><td>Guarantee to whom</td><td>Reasons of the guarantee</td></tr>
<tr><td rowspan="2">Guntur Institute of Oncology Private Limited</td><td>29,941.00</td><td>ECGL</td><td rowspan="6">Benefit of Lower rate of interest due to guarantee</td></tr>
<tr><td>7,92,267.00</td><td>ICICI Loan</td></tr>
<tr><td rowspan="2">Kakatiya Institute of Oncology Private Limited.</td><td>33,00,582.00</td><td>Term Loan-1</td></tr>
<tr><td>5,73,989.00</td><td>Term Loan-2</td></tr>
<tr><td rowspan="2">Kurnool Institute of Oncology Private Limited</td><td>1,90,300.00</td><td>ECGL</td></tr>
<tr><td>58,35,752.00</td><td>Term Loan</td></tr>
</table></td><td>The comments are statement of facts, hence need not be traversed.</td><td>No further observations.</td></tr>
</table>

SN	OL Observations	Petitioner Company Reply	OL Further Observations
			
(i)	As per Note 2.18 of the Financial Statements of Transferor Company as at 31.03.2024 & 31.03.2023, an amount of Rs.3.81 lakhs and Rs.71.76 lakhs respectively has been shown as "Chit Dividend" under the head of "Other Income". In this regard, the Transferor Company vide letter dated 11.03.2025 (received on 21.03.2025) has provided the details of Chit made by the Company with "Pooja Krishna Chit Funds India Private Limited" and further stated that the said chit was closed at present.	The comments are statement of facts, hence need not be traversed.	No further observations.
(j)	As per Note 2.20 of the Financial Statements of Transferor Company as at 31.03.2024, the Salaries & Wages are shown as "NIL" under the head of "Employee Benefit Expenses", whereas the Company has earned the Revenue from operations of Rs.4,187.05 lakhs. In this regard, the Transferor Company vide letter dated 11.03.2025 (received on 21.03.2025) has stated that their company does not have any employees on its rolls and instead, they engaged the professionals and specialists, who provide their expertise and services for which they are compensated through professional fees and this structure enables them to leverage specialized skills, while maintaining strategic oversight and ensuring alignment with their business objectives and operational goals.	The comments are statement of facts, hence need not be traversed.	The Company has earned the Revenue of Rs.4,187.05 lakhs, whereas the employee cost is "NIL". It means, it is operating the business without any employees, which creates doubt on operations of the company. The company has engaged the professionals and specialists for operations of the company. Hence, this Tribunal may direct the Transferor Company to provide the details of professional and their

SN	OL Observations	Petitioner Company Reply	OL Further Observations
			fees paid towards maintenance of books of account & other statutory books as required under the Companies Act, 2013.
(k)	As per Note 2.23 of the Financial Statements of Transferor Company as at 31.03.2024, an amount of Rs.130.50 lakhs has been shown as "Sundry Debit Balance Written Off" under the head of "Other Expenses". In this regard, the Transferor Company vide letter dated 11.03.2025 (received on 21.03.2025) has provided the details of Sundry debit balance written off on various reasons with Board approvals such as unable to pay due to losses, rent adjustment, etc., and the company has further stated that the company has no relationship with the parties.	The comments are statement of facts, hence need not be traversed.	No further observations.
(l)	As per the Financial Statements of Transferor Company as at 31.03.2024, the Transferor Company held the investment of 12,00,000 equity shares in Transferee Company. Further, as per the provisional financials of Transferee Company as at 31.03.2024, Transferor Company is a shareholder of the Transferee Company holding 12,00,000 equity shares. In this regard, the Transferor Company vide letter dated 11.03.2025 (received on 21.03.2025) has stated that as per Clause 13.3 of the Scheme, Inter-corporate deposits/ loan and advances, investments, etc., if any outstanding between the Transferee Company and any of the Transferor Company inter-se shall stand cancelled and there shall be no further obligation/ outstanding in that behalf. The Company has further stated that upon sanction of the Scheme, the shares held by the Transferor Company in the Transferee Company shall stand cancelled.	The comments are statement of facts, hence need not be traversed.	No further observations.

RD/ RoC

16. The RD, vide Diary No. 1207 dated 23.06.2025, filed its Report Affidavit dated 18.06.2025, the para 4 of which referred to the observations of letter no. ROCV/AMAL/STA/96073/230/2025/17 dated 02.04.2025 received from the RoC. The Petitioner Company, vide Diary No. 1632 dated 08.08.2025, filed its Reply Affidavit dated 24.07.2025 responding to the said observations. Subsequently, the RD, after considering the reply of the Petitioner Company, filed a further report dated 05.08.2025 vide Diary No.1662 dated 13.08.2025 containing the further observations of the RD and also enclosed the letter no. ROCV/AMAL/STA/96073/230/2025/17 dated 02.04.2025 received from the RoC, Andhra Pradesh at Vijayawada. The relevant extracts of the RD Observations in its report dated 18.06.2025, reply of the Petitioner Company in Reply Affidavit dated 24.07.2025 and RD further observations in its report dated 05.08.2025 have been tabulated below:

Para	RD Observations	Petitioner Company Reply	RD Further Observations
4(a)	The Tribunal may direct the Petitioner Companies to preserve its books of accounts and papers and records and the same shall not be disposed off without the prior permission of the Central Government in terms of the provisions of section 239 of the Companies Act, 2013.	Without the prior permission of the Central Government, the Petitioner Companies will not dispose off its books of Accounts and papers and records	No further observations, only reiterated the Petitioner Company reply.
4(b)	The Tribunal may direct the Petitioner Companies to ensure statutory compliance of all applicable laws and on sanctioning of the present scheme, the Petitioner Company shall not be absolved for any of its statutory liabilities in any manner.	The Petitioner Companies undertake to ensure statutory compliance of all applicable laws and also on sanctioning of the Scheme, the Petitioner Company will not be absolved for any of its statutory liability in any manner.	No further observations, only reiterated the Petitioner Company reply.

Para	RD Observations	Petitioner Company Reply	RD Further Observations
4(c)	The Tribunal may direct the Petitioner Companies involved in the Scheme to comply with Rule 17(2) of the CAA Rules, with respect to filing of order for confirmation of Scheme to be filed in e-form No. INC-28 with the ROC, by the Petitioner Company.	After receiving the Order for confirmation of Scheme, the Petitioner Companies undertake to file the Form INC-28 with ROC.	No further observations, only reiterated the Petitioner Company reply.
4(d)	The Transferee Company shall comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 and pay the differential fee after setting of the fee already paid by the Transferor Company and furnish an undertaking before the Tribunal.	Transferee Company shall comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 and pay the differential fee after setting of the fee already paid by the Transferor Company.	No further observations, only reiterated the Petitioner Company reply.
6	The Tribunal may direct the Petitioner Companies to furnish an undertaking that, if any, demand arises from the IT department with respect to Transferor and Transferor Companies, the Transferee Company is ready to pay the said statutory dues	-	No further observations, only reiterated the Petitioner Company reply.
7(a)	The Appointed Date shown in the Scheme is 01.04.2023, which may be changed to a latest date, as may be decided by the Tribunal	In accordance with Section 232(6) of the Companies Act, 2013 and as clarified by the Ministry of Corporate Affairs (General Circular No. 09/2019 dated 21.08.2019), the appointed date of a scheme may be a specific calendar date or a date linked to the occurrence of a relevant event. The selection of 01.04.2023 as the appointed date is thus well within the statutory framework and applicable regulatory provisions. The date of 01.04.2023 marks the beginning of the financial year 2023-24. Fixing this date ensures seamless integration of books of accounts, tax filings, and statutory reporting for the merged entity without requiring restatement of part-year financials. This enhances administrative efficiency and compliance simplicity.	No further observations, only reiterated the Petitioner Company reply.

Para	RD Observations	Petitioner Company Reply	RD Further Observations
		It is pertinent to note that: a. The Board Meeting of the Transferor Company approving the Scheme was held on 27.05.2024. b. The 1st Motion Petition for the Scheme was filed before this Tribunal on 06.10.2024. c. The Tribunal has granted exemption from conducting the meetings of Shareholders, Secured Creditors and Unsecured Creditors of the Transferor Company with the powers vested with them under Section 230(9) of the Companies Act, 2013, since consent affidavits were produced by the Transferor Company vide orders dated 06.11.2024. d. Thereafter, the Transferor Company filed this Petition and the Tribunal issued directions to issue notice to the RD, RoC, OL and IT Authorities including publication of the said notice in two daily newspapers, one in English Daily and other in Telugu Daily. Notices were issued and publication was done accordingly. Proof of service of notice and the publication of notice were filed before the Tribunal on 30.01.2025. e. Annual General Meeting for the financial year 2023-24 was held on 31.12.2024, in which the financial statements for the financial year 2023-24 were approved. The Appointed Date is well within the stipulated financial year for which the financials were approved in the Annual General Meeting. The above sequence of dates demonstrates that the proposed Appointed Date is well within the functionary and there is no deviation from the Regulations stipulated under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 read with Rule 3 of the CAA Rules. The valuation and accounting treatment proposed under the Scheme is based on the	

Para	RD Observations	Petitioner Company Reply	RD Further Observations
		audited financial statements as on 31.03.2023. Using 01.04.2023 as the appointed date ensures continuity from that audit cutoff and avoids the need for additional interim financial statements or reconciliations. The proposed appointed date does not cause any prejudice to the rights or interests of shareholders, creditors, or other stakeholders	
7(b)	The Transferor Company has filed Statutory Returns up to 31.03.2023 and may be directed to file the same up to 31.03.2024.	Transferor Company has filed Statutory Returns up to 31.03.2024.	No further observations, only reiterated the Petitioner Company reply.
7(c)	There are common directors in both the companies.	It is a fact on record and hence, no comments.	No further observations.
7(d)	Transferee Company is having preference share capital of Rs.13,00,000/-.	It is a fact on record and hence, no comments.	No further observations.
7(e)	Clause 8.1 of the Scheme seeks to protect all the executives, staff, workmen and other employees in the service of the Transferor Company as on the Effective Date and shall become the staff and employees of the Transferee Company. Hence, the Tribunal may direct the Petitioner Companies to furnish an undertaking stating that the interests of the employees, staff and workmen are being protected post approval of the Scheme by the Tribunal.	Upon the Scheme becoming effective, all the executives, staff, workmen and other employees in the service of the Transferor Company as on the Effective Date shall become the staff, workmen and employees of the Transferee Company. Further that the interests of the employees, staff and workmen are being protected post approval of the Scheme by the Tribunal.	No further observations, only reiterated the Petitioner Company reply.
7(f)	As per the Balance Sheet as at 31.03.2024, the Transferor Company has related party transactions during the last two years and therefore, may be directed to show the compliance of the provisions of Section 188 of the Companies	All the related party transactions are in the ordinary course of business and at the arm's length basis. Further, the Petitioner Company undertakes that they have complied Section 188 of the Companies Act 2013.	No further observations, only reiterated the Petitioner Company reply.

Para	RD Observations	Petitioner Company Reply	RD Further Observations
	Act, 2013 and also furnish an undertaking before the Tribunal.		
7(g)	The Transferor Company has investment by way of equity shares in Transferee Company and as per Clause 13.3 of the Scheme, any investments outstanding between Transferor Company and Transferee Company inter-se shall stand cancelled and there shall be no further obligation/ outstanding in that behalf and upon sanction of the Scheme, the shares held by the Transferor Company in the Transferee Company shall stand cancelled.	It is a fact on record and hence, no comments.	No further observations.
7(h)	Both the companies are having different class of share capital i.e. equity share capital and preference share capital.	It is a fact on record and hence, no comments.	No further observations.
7(i)	As per Clause 12.1 of the Scheme, 1.542 equity shares of face value of Rs.10/- each fully paid up of the Transferee Company shall be allotted for every 1 equity share of Rs.10/- each of the Transferor Company and fractions, if any, arising out of such allotment shall be rounded off to the nearest whole number.	It is a fact on record and hence, no comments.	No further observations.
7(j)	As per the Balance Sheet as at 31.03.2024 of the Transferor Company, the Transferor Company has granted loans to the Directors and others and may be directed to state the compliance of the provisions of Section 185/186 of the Companies Act, 2013 and furnish an undertaking before the Tribunal.	The Petitioner Company undertakes that they have complied Section 185/186 of the Companies Act 2013.	No further observations, only reiterated the Petitioner Company reply.

<table>
<tr><th>Para</th><th>RD Observations</th><th>Petitioner Company Reply</th><th>RD Further Observations</th></tr>
<tr><td>7(k)</td><td>Transferor Company has 4 Open Charges as per its Master Data and therefore, may be directed to furnish NOC's obtained from the charge holders before the Tribunal.</td><td>
<table>
<tr><th>Charge ID</th><th>Name of the Charge holder</th><th>Amount(Rs.)</th><th>Status</th></tr>
<tr><td>100347395</td><td>The South India Bank Limited</td><td>99,48,000.00</td><td>The Company has repaid the total amount on 23.03.2023. However the security properties are not yet released. Hence the charge is open in MCA website. Closure letter from bank is enclosed.</td></tr>
<tr><td>100297911</td><td>Catalyst Trusteeship Limited</td><td>73,00,00,000.00</td><td>This charge was created against the corporate guarantee provided by the company for the loan availed by the M/s. 1.Sathavahana Institute Of Oncology Private Limited, 2.Oncochain Healthcare Services Private Limited, 3.Omega Century Institute Of Oncology Private Limited.</td></tr>
<tr><td>100218239</td><td>HDFC Bank Limited</td><td>7,49,00,000.00</td><td>This charge was created against the "Cash Credit" limit granted by the said bank which is still continuing and the remining 2.49 crores were stands repaid in the books of the company on 09.07.2024 for which is due from the bank.</td></tr>
<tr><td>100171938</td><td>HDFC Bank Limited</td><td>2,06,90,36,000.00</td><td>This charge was created against the corporate guarantee provided by the company for the loan availed by the following subsidiary companies.
1.Kurnool Institute of Oncology Private Limited
2. Kakatiya Institute of Oncology Private Limited
3. Sathavahana Institute of Oncology Private Limited
4. Harikrishna Institute of Oncology Private Limited
5. Hyderabad Institute of Oncology Private Limited
6. Guntur Institute of Oncology Private Limited</td></tr>
</table>
The Transferor Company has already submitted NOC's obtained from the charge holders to the Tribunal along with the Application and the Tribunal has dispensed with the meeting of the secured creditors vide its order dated 06.11.2024 in CA (CAA)/2/230/AMR/2024.
</td><td>No further observations, only reiterated the Petitioner Company reply.</td></tr>
</table>

17. During the course of hearing dated 21.08.2025, the Counsel for the RD sought one week's time to obtain instructions and to file a clear report by way of an additional affidavit, for the purpose of taking a decision on the appointment date whether they are satisfied with the reply of the Company to retain the appointment date as 01.04.2023, or whether the appointment date requires to be changed as suggested in their report. The Counsel for the Petitioner also sought one week's time to obtain instructions and to file a confirmation affidavit regarding the change of appointment date.

18. Subsequently, the Petitioner Company, vide Diary No.1766 dated 02.09.2025, filed IA(CA)/34/2025 under Rule 11 read with Rule 13 of the NCLT Rules, 2016 seeking to permit the Petitioner Company to amend the Scheme of Merger by inserting Part-V- Clause 25 therein, which deals with justification of selection of the Appointed Date as 01.04.2023. The said application was heard on 09.09.2025, wherein this Tribunal , after hearing the parities, allowed the IA (CA)/34/2025 with liberty granted to the RD, RoC, and OL to file supplementary reports, if any, in the main petition within three weeks from the date of the order.

19. The Petitioner Company, also filed a Memo dated 25.09.2025, enclosing the neat copy of the amended Scheme, vide Diary No.1968 dated 30.09.2025.

20. The RD referring to the copy of the IA(CA)/34/2025 served by the Petitioner Company, filed the Additional Affidavit dated 08.09.2025 vide Diary No.1828 dated 11.09.2025, stating that the Petitioner Company may be directed to choose any other date as appointed date instead of 01.04.2023, as may be decided by the Tribunal. The relevant extracts of the above Affidavit are reproduced below:

4. That in the meantime, the Petitioner Company has served a copy of the Interlocutory Application in CP(CAA)04/230/AMR/2025 in CA(CAA) No.02/230/AMR/2024 for amending the Scheme of Merger particularly with regard to the Appointed Date with detailed justification. It is stated by the Petitioner Company in the above IA vide Para-E that the Board of Directors of both the companies have thought fit to amend the Scheme of Merger while keeping the Appointed date intact as 01.04.2023 with the proper justification in their meetings held on 23.08.2025. Further, the Petitioner Company vide para 25 of the IA have furnished detailed justification of selection of Appointed Date as 01.04.2023. The amended Scheme with the justification is attached to the IA.

5. That as seen from Para 25.5. of the Amended Scheme that the Petitioner Companies entered into a Non-binding Term Sheet for Equity Stake in Omega Hospitals Group on 12-10-2023 with Morgan Stanley Asia Limited and thereafter an agreement called "Implementation Agreement" was entered between the Transferee Company, Promoters and the Investor on 18-04-2024 along with related agreements and the present scheme is an outcome of the agreements. It is clear that the appointed date is not as per the circular. Further, though the company has tried to give a justification as per Para 6(c) of the Circular the same is not entirely acceptable as the present merger is not mentioned in the agreement and is a subsequent event to the agreement. As regards considering the appointed date based on the event as provided in para 6(d) of the Circular dated 21-08-2019, the same has not been stated by the Petitioner Company. However, even considering the agreements as the event, the event date would be either 12-10-2023 or 18-04-2024. The appointed date chosen by the Petitioner Company does not fall within Para 6(d) of the Circular dated 21-08-2019. Hence, the Petitioner Companies may be directed to choose any other date as appointed date instead of 01-04-2023 as may be decided by the Hon'ble Tribunal.

21. The Petitioner Company, vide Affidavit dated 14.04.2025, have submitted the Statutory Auditor's Certificate confirming that the accounting treatment proposed in the Scheme is in conformity to the Accounting Standards prescribed under section 133 of the Companies Act, 2013.

DIRECTIONS

22. We have heard the Ld. Counsel for the Petitioner Company, the Standing Counsel for the Income Tax Department, the Ld. Official Liquidator, and the Assistant Director, represented the Regional Director and the Registrar of Companies.

23. Subject to the Petitioner Company complying with the requirement of various laws including the rules and regulations, the permission is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Company under Sections 230-232 of the Companies Act, 2013. The sanctioned Scheme of Amalgamation shall be binding on all the Transferor Company and the Transferee Company and their Shareholders and Creditors. The Petitioner Company shall remain bound to comply with all the statutory requirements in accordance with law.

24. Notwithstanding the submission that no investigation is pending against the Petitioner Company, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the Petitioner Company.

25. While approving the Scheme as above, it is clarified that this order should not be construed as approval by any other Statutory Authorities viz. RBI, SEBI, CCI, RERA(s), if applicable or any other Sectoral Regulator(s), etc. or construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges or payment, if any, due or required in accordance with law or in respect to any permission/ compliance with any other requirement, which may be specifically required under any law. Further, the approval of the Scheme would in no manner

affect the tax treatment of the transactions under the Income Tax Act, 1961, or serve as any exemption or defense for the Petitioner Company against Tax Treatment in accordance with the provisions of the Income Tax Act, 1961 and the rules and regulations made there under.

26. This Tribunal do further order:

(i) Upon the sanction becoming effective from the appointed date of amalgamation i.e. 01.04.2024, the Transferor Company shall stand dissolved without undergoing the process of winding up;

(ii) All the property, rights and powers of the Transferor Company be transferred, without further act or deed, to the Transferee Company and accordingly, the same shall pursuant to Sections 230 & 232 of the Act, be transferred to and vested in the Transferee Company for all the estate and interest of the Amalgamating Companies, but subject nevertheless to all charges now affecting the same;

(iii) Since consent affidavits in respect of the open charges with regard to The South Indian Bank Limited and Catalyst Trusteeship Limited (mentioned at sl. no. 7(k) of the Table at Para 16 of this Order) have not been submitted by the Petitioner Company, the Petitioner Company will also submit their consent affidavits also.

(iv) All the liabilities and duties of the Transferor Company be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230-232, be transferred to and become the liabilities and duties of the Transferee Company;

(v) The authorized share capital of the Transferee Company, after the Scheme becoming effective, shall be in accordance with Section 232(3)(i) of the Companies Act, 2013 and the fee, if any, paid by the Transferor Companies on its authorized capital shall be set off against any fees payable by the Transferee Company on its authorized capital subsequent to the amalgamation;

(vi) The Transferee Company shall file the revised Memorandum and Articles of Association with the concerned RoC and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company; after setting off the fees paid by the Transferor Companies;

(vii) Upon coming into effect of the Scheme, the equity shares of the Transferee Company as held by the Transferor Company without further application, act, instrument or deed shall be automatically stand cancelled and be of no effect on and from the effective date.

(viii) The Transferee Company shall, without further application, allot to the existing members of the Transferor Company, shares of Transferee Company to which they are entitled under the Scheme;

(ix) All proceedings pending, if any, by or against the Transferor Company be continued by or against the Transferee Company in terms of the Scheme;

(x) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the

Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(xi) All the tax liabilities, including pending demand of Rs.578,41,840/- (excluding interest) against the Transferor Company for the Assessment Year 2024-25 as well as those arising or that may arise pursuant to assessments, appeals, or proceedings pending under the Income Tax Act, 1961, if any, against the Transferor Company, shall stand transferred to and be enforceable against the Transferee Company. All statutory compliances under the said Act shall be duly made by the Transferee Company after the Appointed Date. The Income Tax Department shall be entitled to retain its recourse for recovery of any existing or future tax demands or liabilities, whether arising from the Transferor Companies or the Transferee Company, in respect of the assets transferred under the Scheme. The Transferee Company is further directed to discharge any outstanding or subsequently determined demand, if found payable against the Transferor Company. It is further clarified that any liability, if arising under the provisions of *Section 2(22)(e)* of the *Income Tax Act, 1961* in respect of “deemed dividend” on account of any inter-corporate loan or advance reflected as on 31.03.2024, shall be examined and dealt with by the Income Tax Department in accordance with law, and any

resultant tax liability so determined shall be borne and discharged by the Transferee Company.

(xii) Further, the Transferee Company shall be bound by its undertaking on behalf of all the Transferor Companies, involved in the present Scheme more particularly as stated in the reply of the Petitioner Company in Reply Affidavit dated 15.05.2025 to the OL Observations in its report dated 06.05.2025 and reply of the Petitioner Company in Reply Affidavit dated 24.07.2025 to the RD Observations in its report dated 18.06.2025 [Ref Para 15 and 16 of this Order].

(xiii) The Transferee Company will clear all the pending statutory dues of Transferor Companies as well as the Transferee Company after exercising all Appellate jurisdictions and as per final orders. The Scheme shall not come in the way of the statutory authorities to recover any of their dues. All the contentions of the parties shall remain open before the relevant forum(s), where disputes are pending;

(xiv) Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

(xv) As per the aforesaid directions and Form No. CAA-7 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, formal order be issued to the Petitioner Company to the filing of the Schedule of Properties within three weeks from the date of receiving the certified copy of this order.

27. The Petitioner Company shall, within 30 days after the date of receipt of this Order, cause a certified copy of this Order to be delivered to the RoC for registration

in prescribed form and on such certified copy being so delivered; the Transferor Company shall be dissolved without undergoing the process of winding up. The concerned RoC shall place all documents relating to the Transferor Company registered with him on the file relating to the said Transferee Company, and the files relating to the Transferor Company and Transferee Company shall be consolidated accordingly, as the case may be.

28. The certified copy of this order, if applied for, be supplied to the parties, subject to compliance with all requisite formalities.

29. Accordingly, the Scheme stands sanctioned and the Company Petition bearing **CP(CAA)/4/230/AMR/2024** connected with **CA(CAA)/2/230/AMR/2024** is allowed and stands disposed of, in terms of the above order.

Sd/-	Sd/-
(Umesh Kumar Shukla)	**(Kishore Vemulapalli)**
Member (Technical)	**Member (Judicial)**

R Swamy Naidu